

Price trend. Look for the pattern in an upward price trend. That is where they appear most often. Those appearing in uptrends (set by the closing price at the trend start compared to the pattern start) perform better, too (bull market only: 51% versus 45% average gain).

Proportion. Each valley should look similar to the prior one. In the figure, the three minor lows are 3 days wide. In [Figure 63.2](#), the turns are more graceful, wider, and the minor lows are more significant. Avoid mixing a wide minor low with a narrow one.

The statistics shown in this chapter assume each valley appears like the other two. It may be that mixing bottom shapes like points 1, 2, and A in [Figure 63.2](#) will succeed (or even perform better), but the figure gives one example of the decline you would suffer as price dropped to valley 3 (a 16% decline from the high at A).

Breakout direction, confirmation. By definition, the breakout is always upward when price closes above the tallest peak in the pattern. If price first closes below the lowest low in the pattern, then it's not a valid three rising valleys pattern.

Confirmation happens when price closes above the highest high in the pattern. It confirms the three valleys as a valid chart pattern. Always wait for confirmation unless you have a compelling reason for entering early. Entering the trade sooner increases your risk, especially if price was trending down leading to the start of the chart pattern.

There are exceptions, of course, and the Trading Tactics section discusses them. [Figure 63.3](#) shows an example of when getting in sooner reduces your risk and increases profits. When the peak between valleys 2 and 3 is below the highest high, then the last peak (point A) serves as the new confirmation price. In the example shown in the figure, that would change a 2% profit into a 12% one. That's not much, but you can make a million bucks by saving pennies.

Focus on Failures

Like all chart patterns, three rising valleys fails from time to time. [Figure 63.3](#) shows one example. The minor lows marked 1, 2, and 3 show the three valleys of the pattern; each low is above the prior one. The minor lows look